How Training Within Industry Can Reduce Turnover and Increase Performance in Skilled Trades

Situation: Hidden Costs in Skilled Trades.

The biggest costs do not always show up on your balance sheet: Rework, frustrated supervisors and employees, quiet quitting, turnover, burnout, safety incidents, and customer churn.

None of these issues start with a dramatic failure. They start with unclear expectations.

Most companies train people how to do tasks. Very few train supervisors how to teach tasks. That's where Training Within Industry (TWI) enters — a system for clarity.

"The problem is not employee unwillingness but systematic undertraining."

Message: Hidden Costs May Stem from Training Issues

Short-Term Solutions for Long-Term Problems

Businesses can have the tendency to treat visible pressure points rather than structural weaknesses.

In an attempt to solve workforce challenges, many businesses may be tempted to respond to these issues through increased hiring, higher pay, or expanded recruiting efforts; however, many of these growth constraints stem from inconsistent training systems.

Training Within Industry (TWI) provides a structured, repeatable framework that addresses these root causes and enables sustainable organizational growth.

Analysis: Why Current Solutions Fail

Common Symptom Treating Behaviors

Turnover rates in the skilled trades industry range from 20%-30% annually[1].

Due to these high turnover rates, companies will push hiring solutions, this may even mean hiring a full-time recruiter to keep rosters full.

These high turnover rates also denote constantly trying to train new employees and rework the inevitable errors that come along with learning a trade.

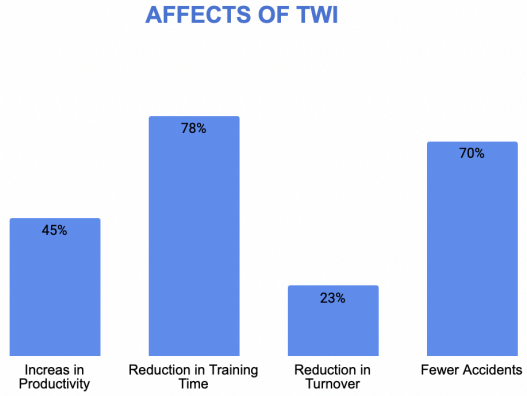
This type symptom-treating behavior may appear to work, as positions tend to be full since the company strategy is to be on the lookout for new hires to prevent position holes; however, these types of solutions merely cover up the issue at hand.

Without addressing the root cause of issues like turnover, a company stands to incur significant financial losses every year. There are exorbitant costs associated with replacing an HVAC technician: “an estimated $15,000-$25,000 per replacement.”[2]

A similar example highlighting turnover rates in construction highlights: “A mid-sized construction company with 100 employees making $50,000 per year could spend $660,000 to $2.6 million replacing workers who quit”[3].

Recommendation: Implement TWI

Solving for Root Causes



Growth within a company simply exposes the existing problems. A large one, which is often overlooked, is how work is taught.

At the root employees who feel frustrated with their ability to do the job well, their work environment, or their managers end up looking for either a new line of work or a different place of work.

“45% of workers are more likely to stay in their role if they receive training”[4].

Informal onboarding/training creates ambiguous expectations and inconsistent instruction. Additionally, promotions based on technical skill and not leadership capability leads to untrained supervisors and reactive leadership.

Unstructured job instruction leads to informal knowledge transfer.

Long Term Solutions Through TWI

Training Within Industry relies on structured and formal procedures to help employees develop their skills and feel empowered to do their job well, while solving the problems they are faced with daily to increase their own life satisfaction, and their companies profitability and productivity.
Job Instruction sheets in tandem with Job Methods are directly linked to a 78% decrease in training time and a 45% increase in productivity.[5]

Job Relations training is related to lower turnover as employees are empowered to resolve conflicts with one another on the job.

When the leaders in a company are trained to train the people that work below them and develop solutions with their teams they are empowered to bring new solutions to the table and experience the workplace development and opportunity that 90% of employees say that if they got, they would not quit.[6]

When supervisors are able to stop spending time on correcting avoidable errors, they can focus on the growth they were hired or promoted to produce.

Long-Term Solutions, for Long-Term Problems

Companies with robust, formal training programs have been found to outperform peers, with profit margins increasing by approximately

24%

As you, the owners, managers, and business readers consider your companies bottle necks as you reach for the next rung in the ladder of growth consider the impacts of developing or implementing a formal training program like TWI.

Training Within Industry was designed specifically to address the bottlenecks of employee and manager limitations when considering productivity and profitability.

During WWII manufacturers in the United States implemented TWI and it “eventually became a centerpiece of the training deployed by TWI Institute, whose clients include Coca-Cola, Boeing, BMW, LEGO and Merck.

‘It’s a program that focuses on building people skills at the frontline,’ Curtis said.

‘But it transcends that because if you look over time, those frontline leaders typically move up the organization into mid-management and then up into senior management.’”

As trade businesses find themselves in a battle for talent amidst a sea of turnover, inconsistent performance, and growth constraints – often responding with reactive solutions such as increasing hiring or offering more competitive pay – the most powerful tool will be the human element of TWI.

“‘Even though it [TWI] focuses on improving output and productivity, safety and all those things,’ TWI Institute principal Patrick Graupp told HR Dive, ‘at the core of the TWI program is what the Japanese like to call the human element.

The human element highlights the important role that frontline supervisors play in change management and continuous development efforts.’”[7]

Takeaway: Train Leaders, Not Just Workers

The problem is not employee unwillingness but systematic undertraining. People are quitting or are underskilled, but those people may also be undertrained and overlooked.

When operating a business it is far easier to promote the most technically skilled employee on the crew or focus solely on what the numbers are communicating now.

The next step is recognizing that the most technically skilled employee may appear to be the best fit for the promotion, but may not always be the best candidate due to a lack of training in supervision.

When employees are properly trained by their supervisors, they are empowered to solve the day to day problems; in the absence of the day to day problems supervisors will be empowered to solve bigger problems positioning the company for sustainable growth.



About the Author: Spencer Crockett is a junior at Brigham Young University studying Economics with a minor in Business. He has worked as a project manager in HVAC and roofing industries where he developed an interest in workplace training and organizational performance. His work explores how structured training programs such as Training Within Industry can improve productivity, reduce turnover, and strengthen employee-employer relationships.

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